

CHAPTER ONE

An Over View of Marketing & Marketing Management

Definition of Marketing

Marketing can be defined in various ways. In order to understand the term marketing, we can use the following definitions.

- Marketing is a social and managerial process by which individuals and groups obtain what they want and need through creating, offering and exchanging products of value with others.
- Marketing is the process of development and efficient distribution of goods and services to a target market with the objective of making profit.
- Marketing is a process of anticipation, management and satisfaction of demand through exchange.

According to Lamb (2004), marketing is the process of planning and executing the conception, pricing, promotion and distribution of ideas, goods and services to create exchanges that satisfy individual and organizational goals.

Marketing Management Philosophies/Concepts/

- Marketing management is defined as a conscious effort to achieve desired exchange outcomes with target markets.

There are five competing concepts under which organizations can choose to conduct their marketing activities. These are;

1. The Production Concept/Philosophy

This philosophy is probably the oldest concept in guiding marketing (in the early 1905). The concept holds that consumers will favor those products that are widely available and low in cost. Therefore, management should focus on improving production and distribution efficiency.

The production concept is still a useful philosophy in two types of situations.

- ✓ It is ideal when demand for a product exceeds the supply.
- ✓ It is also ideal in situations when a production cost is too high and improved productivity is needed to bring it down

The-production concept can lead to marketing myopia-Companies adopting this orientation run a major risk of focusing too narrowly on their own operations and losing sight of the real objective-satisfying customer needs and building customer relationships.

2. The Product Concept

- The product concept holds the assumption that consumers will favor those products that offer the most quality, performance and/or innovative features.
- Managers in these organizations focus on making superior products and improving them over time, assuming that buyers can appraise quality and performance. Under this concept, marketing strategy focuses on making continuous product improvements.

- ✓ However, focusing only on the company's products can also lead to marketing myopia.

Managers in these organizations are sometimes caught up in a love affair with their products.

3. The Selling Concept

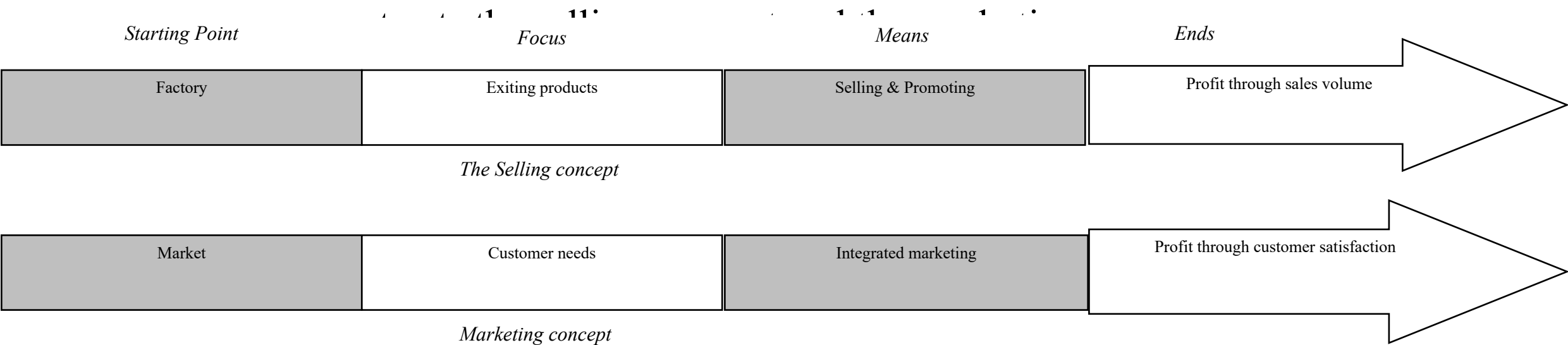
- ✓ The selling concept holds that consumers, if left alone, will ordinarily not buy enough of the organization's products unless greater effort is under taken towards selling and advertising.
- ✓ The concept is typically practiced with unsought goods-those that buyers do not normally think of buying, such as insurance or blood donations.
- ✓ Most firms practice the selling concept when they face over capacity.
- ✓ Their aim is to sell what they make rather than make what the market wants.

4. The Marketing Concept

- This concept holds that the key to achieve organizational goals consists of being more effective than competitors in integrating marketing activities towards determining and satisfying the needs and wants of target market.

The marketing concept rests on four pillars; **Target market, consumer need, integrated marketing and profitability.**

- Under the marketing concept, customer focus and value are the paths to sales and profits. Instead of a product-centered "make and sell" philosophy, the marketing concept is a customer-centered "sense and respond" philosophy. It views marketing not as "hunting," but as "gardening."
- The job is not to find the right customers for your product, but to find the right products for



5. The Societal - Marketing Concept

- The societal marketing concept holds that the organizations task is to determine the needs, wants and interests of target markets and to deliver the desired satisfactions more effectively and efficiently than competitors in a way that preserves or enhances the consumer's and the society's well-being.

CORE CONCEPTS, NEW TRENDS & TASKS OF MARKETING

The core concepts of marketing- To understand the marketing function, we need to understand certain fundamental concepts and tasks; The core concepts of marketing are

Customer Needs, Wants and Demands

Needs: Human needs are states of felt deprivation. When we are deprived or deficient for something, we strive or act to fulfill the deficiency. They include basic physical needs for food, clothing, and safety; social needs for belonging and affection; and individual needs for knowledge and self-expression. These needs were not created by marketers; they are a basic part of the human makeup.

Wants: Wants are desires for specific satisfiers of needs. Needs becomes wants when they are directed to specific objects that might satisfy the need.

- Wants are shaped by one's society. Wants are many and are subjected to cultural shifts and technological dynamism, whereas needs are few and are innate or inborn.
- Marketers strive not to create needs but identify them and develop products (wants) that would satisfy the needs. They do not, however, create the need for social status.

Needs	Possible need satisfying wants
Food	Hamburger (American), Injera (Ethiopian), Rice (Indian), potatoes (Russians) etc.
Transportation	Horseback, personal automobile, bus, airplane, trains, ship, etc.

Demands: Demands are wants for specific products that are backed by an ability and willingness to buy them.

- you can clearly understand that demand is different from want by two major points, i.e. the purchasing power or financial capacity to purchase the product and the willingness to buy it.
- **Demand = wants exhibited + ability to buy + willingness to buy**
- Marketers should measure not only how many people want their products, but also how many would actually be willing and able to buy it.

Market Offerings or Products

- Consumers' needs and wants are fulfilled through a market offering-some combination of products, services, information, or experiences offered to a market to satisfy a need or want.
Hence, a product is anything that can be offered to the market for attention, acquisition, use or consumption that might satisfy a need.

Market offerings are not limited to physical products More broadly, market offerings also include other entities, such as persons, places, organizations, information, and ideas.

Customer Value, Cost and Satisfaction

Customer value: is the consumer's estimate of the product's overall capacity to satisfy his or her needs.

- ✓ Value can be seen as primarily a combination of quality, service and price (QSP), called the customer value triad.
- ✓ Value increases with quality and service, but decreases with price.

Satisfaction: is the result of the comparison of perceived (actual) performances and expectations.

A product or offering is said to have satisfied the needs of the target market if and only if it meets the minimum consumer expectations.

Table 1.1 Satisfaction: Result of Comparison of Perceived (Actual) Performance and Expectation

If	Actual performance of a product	Is less than	Buyer's Expectations	It results in dissatisfaction
	Actual performance of a product	Is equal/almost similar to	Buyer's Expectations	It results in satisfaction
	Actual performance of a product	Is greater than	Buyer's Expectations	It results in delight (a very pleasant state more than satisfaction)

Exchange and Transaction

There are four ways for people to obtain a product. i.e exchange, self-production, coercion and begging. Exchange is one of the four ways in which a person can obtain a product.

Note that exchange is a process rather than an event

Exchange is the process of obtaining a desired product from someone by offering something in return. For exchange potential to exist, five conditions must be satisfied:

1. There are at least two parties.
2. Each party has something that might be of value to the other party.
3. Each party is capable of communication and delivery.
4. Each party is free to accept or reject the exchange offer.
5. Each party believes it is appropriate or desirable to deal with the other party.

Exchange is a value-creating process because it normally leaves both parties better off.

Transaction is a trade of values between two or more parties: A gives X to B and receives Y in return. A transaction involves:

- ➡ At least two things of value,
- ➡ Agreed-upon conditions,
- ➡ A time of agreement, and
- ➡ A place of agreement

Transaction can be of a classic monetary mode or barter one. A barter transaction involves trading goods or services for other goods or services.

To make successful exchanges, marketers analyze what each party expects from the transaction.

Relationships and Networks

- Transaction marketing is part of a larger idea called relationship marketing.
- Relationship marketing aims to build long-term mutually satisfying relations with key parties— customers, suppliers, distributors—in order to earn and retain their long-term preference and business.

The ultimate outcome of relationship marketing is the building of a unique company asset called a marketing network.

A marketing network consists of the company and its supporting stakeholders (customers, employees, suppliers, distributors, advertising agencies, and others)

Markets, Marketers and Prospects

A **market** consists of all the actual and potential customers sharing a particular need or want who might be willing and able to engage in exchange to satisfy that need or want.

- A **marketer** is someone seeking a response (attention, a purchase, a vote, a donation) from one or more prospects that might engage in exchange of values.
- When one party is more actively seeking an exchange than the other party, we call the first party a marketer and the second party a prospect.
- A **prospect** is someone whom the marketer identifies as potentially willing and able to engage in an exchange. The prospect is relatively less active when compared to the marketer.

Demand Management

The organization has a desired level of demand for its products. At any point in time, there may be no demand, adequate demand, irregular demand or too much demand, and marketing management must find ways to deal with these different demand states.

Marketing managers seek to influence the level, timing, and composition of demand to meet the organization's objectives. Eight demand states are possible:

1. Negative demand: Consumers dislike the product and may even pay a price to avoid it.

Included in this category are vaccinations, dental work, etc. Employers have a negative demand for alcoholics as employees.

Consider the following example. Most people prefer to pay higher price (e.g., more than Br. 10, 000) for tablets to avoid kidney surgery. Assume that a well-equipped hospital charges Br. 5000 for the surgery.

Marketing Task

Conversational Marketing: the marketing task is to analyze why the market dislikes the product and whether a marketing program consisting of product redesign, lower prices, and more positive promotion can change beliefs and attitudes.

2. Nonexistent demand /no demand/: This is a demand situation when the target consumers may be unaware or uninterested in the product.

Farmers may not be interested in new farming methods, and college students may not be interested in foreign language courses.

Marketing Task

Stimulation marketing: The marketing task is to find ways to connect the benefits of the product with people's natural needs and interests.

3. Latent demand: Consumers may share a strong need that cannot be satisfied by an existing product.

There is a strong demand for harmless cigarettes, safer neighborhoods, better schools, and more fuel-efficient cars.

Marketing Task

- **Developmental marketing:** The appropriate marketing task is to measure the size of the market and develop goods and services to satisfy the demand.

4. Declining demand - Consumers begin to buy the product less frequently **or** not at all. . Every organization, eventually, faces declining demand for one or more of its products.

Private colleges have seen applications fall; airliners have seen declining demand in passengers or cargo etc.

Marketing Task

- Remarketing (Re-stimulating): The marketer must analyze the causes of the decline and determine whether demand can be re-stimulated by new target markets, and by changing product features, or by more effective communication styles.

5. Irregular demand - Consumer purchases vary on a seasonal, monthly, weekly, daily, or even hourly basis. Consider the demand of woolen and fur made clothes during a hot season, the demand of mass transit equipment's in an airline during peak travel hours etc.

Marketing Task

- Synchronic marketing: is to find ways to alter the pattern of demand through flexible pricing, promotion, and other incentives.

6. Full demand: Consumers are adequately buying all products put into the marketplace.

- Organizations face full demand when they are pleased with their volume of business.
- It is a demand situation where the actual demand is equal or at least proportional to what the firm can assume with its existing resources.

Marketing Task

- **Maintain marketing:** The marketing task is to maintain the current level of demand in the face of changing consumer preferences and increasing competition.

7. Overfull demand: More consumers would like to buy the product than can be satisfied.

Some organizations face a demand level that is higher than they can or want to handle.

Overfull demand is not a favorable demand pattern for most firms as it results in more work pressure and even dissatisfaction for some of the buyers.

Marketing Task

De-marketing: The marketing task requires finding ways to reduce demand temporarily or permanently.

General de-marketing seeks to discourage overall demand and includes such steps as raising prices and reducing promotion and service. Selective de-marketing consists of trying to reduce demand from those parts of the market that are less profitable.

8. Unwholesome demand: Consumers may be attracted to products that have undesirable social consequences.

Marketing Task:

- The marketing task is to get people who like something to give it up, obey the rules of some established agencies, using fear messages (e.g., Cigarettes are dangerous for health, Cigarettes are dangerous for pregnant women etc) and reduce availability.

5 New Trends in Marketing Recently markets face challenges to meet their marketing objectives due to important changes in the marketing macro environment, such as globalization, deregulation, technological advances, customer empowerment, and market fragmentation. In response to this rapidly changing environment, companies have restructured their business and marketing practices in some of the following ways

1. Reengineering; Redesignating/restructuring the organizational activities on the basis of customer preferences/satisfaction.
2. Outsourcing; Give part/ all organizational activities to the outside organization because of inability and/ cost of performing.
3. Benchmarking; Sharing best experience from others through visiting or other mechanisms; to reduce advertisement, selection and specification costs and to give on time delivery, superior customer value

4. Supplier partnering: creating long term relationship with suppliers.
5. Globalizing: Doing business across borders but we have to think globally act locally.
6. Flattering: Simplifying organizational structures. The reason is to be close to customers/ to solve customer problem
7. Focusing: Giving more attention to profitable business to make profit.
8. Accelerating: Adapt with the changes within the external environment.
9. Empowering employees: Encouraging employees to do the extra activities/motivating employees to bring new idea.
10. Customer partnering: creating long term mutually beneficial relation ship with customers/ target market.
11. Merging: It exists when two independent firms come together and create one organization.

The Tasks of Marketing Management

- Marketing management plays the following core tasks
 - Developing marketing plans and strategies
 - Capturing marketing insights
 - Connecting with the customer
 - Building strong brands
 - Shaping the market offering
 - Delivering value
 - Communicating value